

QUARTERLY FINANCIAL REPORT

For the Quarter Ended September 30, 2023 (Q2 FY24)

Verdant Valley Tea Estates Private Limited

1. MANAGEMENT DISCUSSION & ANALYSIS

Overview of Performance

The second quarter of FY24 has shown resilient performance despite headwinds in the domestic market. Total revenue witnessed a moderate increase compared to the same quarter last year, driven primarily by a surge in demand for our premium orthodox tea varietals in European markets. However, bulk CTC tea realization in domestic auctions remained flat due to an oversupply situation in the North Indian tea belt.

Operational Review

- Production Volumes:** Aggregate tea production for the quarter stood at **1.45 million kgs** (Previous Year Q2: 1.42 million kgs). While the Assam estates faced erratic rainfall in August leading to a marginal drop in leaf plucking, this was effectively offset by higher output and better yield per hectare in our Darjeeling gardens.
- Cost Pressures:** Input costs have seen upward pressure. Wage revisions for plantation workers (effective July 1) and a 12% hike in coal/energy costs have impacted our EBITDA margins. The management has initiated cost-rationalization measures, specifically expecting to reduce logistics costs by 5% in H2 through route optimization.
- Quality Focus:** The company continues to invest in factory upgradation. The new Color Sorter installed at the Tinsukia unit has stabilized, leading to a 3% improvement in grade realization.

Segment Performance

- Orthodox Tea:** This high-margin segment grew by 15% YoY in value terms. The "Golden Tips" specialty range received strong traction in Germany and Japan.
- CTC Tea:** The mass-market segment saw volume growth of 4%, but price realization dipped by ₹ 2/kg.

Sustainability & CSR

Verdant Valley remains committed to ethical practices. During the quarter, we completed the solar panel installation at our Estate No. 4, which is expected to cater to 20% of the factory's power requirement. Our "Learn & Grow" initiative for workers' children added two new computer labs this quarter.

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2. OPERATIONAL KEY PERFORMANCE INDICATORS (KPIs)

Standard industry metrics tracked by management

Metrics	Unit	Q2 FY24	Q2 FY23	% Change
Production	Mn Kgs	1.45	1.42	2.1%
Sales Volume	Mn Kgs	1.38	1.30	6.1%
Average Realization:				
- Orthodox	₹ / Kg	315	285	10.5%
- CTC	₹ / Kg	182	184	(1.1%)
- Blended Average	₹ / Kg	228	215	6.0%
Cost of Production	₹ / Kg	195	178	9.5%

3. UNAUDITED STATEMENT OF PROFIT AND LOSS

For the quarter ended September 30, 2023

(All amounts in ₹ Lakhs, unless otherwise stated)

Particulars	Note	Q2 FY24 (Unaudited)	Q2 FY23 (Unaudited)
I. Revenue from Operations	3	4,250.5	3,890.0
II. Other Income		45.0	32.0
III. Total Income (I + II)		4,295.5	3,922.0
IV. Expenses:			
Cost of Materials Consumed (Green Leaf)		1,850.0	1,620.0
Changes in Inventories of FG/WIP		(120.5)	(85.0)
Employee Benefits Expense		840.5	710.0
Finance Costs		120.0	115.0
Depreciation and Amortization		95.0	92.0
Power & Fuel		410.0	350.0
Other Operating Expenses		400.0	440.0

Particulars	Note	Q2 FY24 (Unaudited)	Q2 FY23 (Unaudited)
Total Expenses		3,595.0	3,242.0
V. Profit Before Tax (III - IV)		700.5	680.0
VI. Tax Expense:			
- Current Tax		175.0	170.0
- Deferred Tax		10.0	8.0
VII. Net Profit for the Period (V - VI)		515.5	502.0
VIII. Other Comprehensive Income (OCI)			
Items that will not be reclassified to P&L		(12.0)	(5.0)
IX. Total Comprehensive Income		503.5	497.0
Earnings Per Share (EPS):			
- Basic & Diluted (₹)		5.15	5.02

See accompanying notes to the financial results.

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4. SUMMARY BALANCE SHEET

As at September 30, 2023

(All amounts in ₹ Lakhs)

Particulars	As at Sep 30, 2023 (Unaudited)	As at Mar 31, 2023 (Audited)
ASSETS		
Non-Current Assets		
Property, Plant and Equipment	3,100.0	3,150.0
Capital Work-in-Progress	250.0	180.0
Other Intangible Assets	100.0	150.0
Current Assets		
Inventories (Tea Stock & Stores)	1,450.0	1,100.0
Trade Receivables	420.0	350.0
Cash and Cash Equivalents	180.0	350.0
Other Current Assets	50.0	50.0
TOTAL ASSETS	5,550.0	5,330.0
EQUITY AND LIABILITIES		
Equity		
Share Capital	1,000.0	1,000.0
Other Equity (Reserves)	1,850.0	1,415.0
Non-Current Liabilities		
Long-term Borrowings	1,200.0	1,250.0

Particulars	As at Sep 30, 2023 (Unaudited)	As at Mar 31, 2023 (Audited)
Current Liabilities		
Short-term Borrowings	850.0	900.0
Trade Payables	550.0	665.0
Other Current Liabilities	100.0	100.0
TOTAL EQUITY AND LIABILITIES	5,550.0	5,330.0

5. REVENUE SEGMENTATION INFO

Information regarding primary business segments

Segment	Revenue (Q2 FY24)	Revenue (Q2 FY23)	Contribution %
Tea (Plantation & Processing)	3,850.5	3,550.0	90.6%
Trading (Bought Leaf)	350.0	300.0	8.2%
Others (Tourism/Waste)	50.0	40.0	1.2%
Total	4,250.5	3,890.0	100%

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6. SELECTED EXPLANATORY NOTES

Note 1: Basis of Preparation These financial results have been prepared in accordance with the recognition and measurement principles of Indian Accounting Standards (Ind AS) 34 "Interim Financial Reporting". The figures for the quarter ended September 30, 2023, are unaudited and clearly management-certified.

Note 2: Seasonality of Operations The Tea industry is inherently seasonal in nature. Production and quality are significantly higher during the first and second quarters (harvest season) compared to the rest of the year. Accordingly, the results for this quarter are not necessarily indicative of the full year's performance.

Note 3: Revenue Variance Revenue from operations includes subsidy received from the Tea Board of India amounting to ₹ 12.5 Lakhs (Previous year: ₹ 8.0 Lakhs). Export incentives are recognized on an accrual basis.

Note 4: Borrowings & Working Capital Working capital utilization remained high during the quarter due to peak processing season inventory buildup. The Company has sufficient unutilized limits with its banking consortium to meet upcoming requirements.

Note 5: Capital Commitments Estimated amount of contracts remaining to be executed on capital account (New Packing Plant) and not provided for: ₹ 125 Lakhs.

Note 6: Contingencies There has been no material change in the status of the pending litigation regarding the land cess matter with the State Revenue Department since the last annual report. The management believes the provision of ₹ 35 Lakhs carried in the books is adequate.

For and on behalf of the Board of Directors

(Sd/-) **Rajer H. Singhe** Managing Director Place: Kolkata Date: October 24, 2023